

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-22

GITI TIRE (USA) LTD.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT'S REPLY MEMORANDUM IN FURTHER SUPPORT OF ITS MOTION
FOR JUDGMENT ON THE PLEADINGS

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel, pursuant to Fed. R. Civ. P. 12(c), and files this, its Reply Memorandum in Further Support of its Motion for Judgment on the Pleadings and in support thereof states as follows:

I. Discussion.

a. Introduction.

Giti's Opposition Memorandum sets forth only two (2) bases as to why the Motion for Judgment on the Pleadings should be denied:

1. That Flexport has already filed a motion to dismiss which was denied; and
2. That the Motion is based on Flexport's Answer rather than just Giti's Amended Complaint.

However, Giti's positions are completely contrary to the law and common sense. Giti spends considerable effort arguing that Flexport's motion should not only be denied, but that Flexport should not even be entitled to file it in the first place. Giti argues that, since the motion to dismiss the initial complaint was denied, Flexport should not get a second bite at the apple since it is seeking the same relief. [Doc. 17 at p. 4].

Giti concludes – without any legal support whatsoever – that since both types of motions “apply the same standard to the complaint, when a complaint is found to have adequately stated a claim in respond to a motion to dismiss the same finding should be equally applicable to a subsequently filed motion or judgment on the pleadings.” [Doc. 17 at p. 4-5].

Giti also concludes that Flexport should be precluded from filing the instant motion since the Commission, in its Order deferring on the motion to dismiss the initial complaint, ruled that no further briefing would be accepted for that motion to dismiss.

To be clear, Giti filed its initial complaint and Flexport moved to dismiss same. The Commission deferred ruling on the motion, providing Giti with the opportunity to amend its complaint. Giti then amended its complaint, which included four different exhibits and which contained several omissions and misrepresentations which are undermined directly by its own exhibits. Flexport then filed its Answer, which included exhibits which were either a direct response to Giti’s exhibits or exhibits which Giti referred to in its Amended Complaint but deliberately did not include.

Giti fails to appreciate that the motion to dismiss attacked the sufficiency of the initial complaint, while the instant motion seeks judgment based upon the allegations and exhibits contained in the amended complaint. This is not a “second bite at the apple” as Giti proclaims. In fact, it is Giti which was given a second bite at the apple. And Giti used its second bite by making outright misrepresentations and omissions to deceive the Commission.

While Giti is correct that the two motions share a standard for reveiw, “a motion for judgment on the pleadings differs from a motion to dismiss in that the former allows the court to consider matters outside of the complaint, where the latter generally does not. In resolving a motion for judgment on the pleadings, the court may consider the pleadings and exhibits attached thereto,

relevant facts obtained from the public record, and exhibits to the motion that are “integral to the complaint and authentic.” *Progressive N. Ins. Co. v. Ladue*, 540 F. Supp. 3d 533, 536–37 (D.S.C. 2021), *aff’d*, 21-1680, 2023 WL 5289365 (4th Cir. Aug. 17, 2023) (citing *Massey v. Ojaniit*, 759 F.3d 343, 347 (4th Cir. 2014)).

“The main difference between the motions is that a motion for judgment on the pleadings is made after an answer and that answer may also be considered in deciding the motion.” *United States v. Bahr*, 275 F.R.D. 339, 340 (M.D. Ala. 2011).

Giti’s conclusory statements are not only contrary to the law, but make no sense in light of the fact that there is a Federal Rule (and a Commission Rule) providing for the submission of motions for judgment on the pleadings. In short, if Congress intended that a denial of a motion to dismiss would preclude a defendant from moving for judgment on the pleadings, there would be no logical reason to have Fed. R. Civ. P. 12(c) in the first place. Likewise, the Commission would not have made the distinction between the two motions in its Rules. *See* 46 C.F.R. § 502.69(g).

Giti’s arguments to the contrary are illogical and contrary to the law.

Next, Giti mistakenly argues that Flexport cannot rely on the allegations of its Answer and its attached Exhibits. As set forth above, the law is absolutely clear that, on a motion for judgment on the pleadings, the Court is to consider “the complaint, the answer, any written documents attached to them, and any matter of which the court can take judicial notice for the factual background of the case.” *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (*quoting Roberts v. Babkiewicz*, 582 F.3d 418, 419 (2d Cir.2009)). “A complaint is [also] deemed to include any written instrument attached to it as an exhibit, materials incorporated in it by reference, and documents that, although not incorporated by reference, are ‘integral’ to the

complaint.” *Sira v. Morton*, 380 F.3d 57, 67 (2d Cir.2004) (citations omitted) (*quoting Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir.2002)).

Giti’s position, while completely contrary to the law, is not surprising, given that the exhibits attached to the Answer expose Giti’s intentionally misleading and deceptive allegations.

b. The OSRA Addendum – Flexport Exhibit “B”.

In its Amended Complaint, Giti alleged that Flexport provided a single “OSRA Addendum” which contained the required information that was purposely missing from the invoice referenced therein. Giti did not attach the OSRA Addendum to its Amended Complaint but clearly referenced same. Flexport therefore attached the OSRA Addendum to its Answer as Exhibit “B”. As such, the law is clear that the OSRA Addendum should be considered when ruling on the instant motion. *See Sira v. Morton*, 380 F.3d 57, 67 (2d Cir.2004).

In its Opposition, Giti again does not dispute that the OSRA Addendum does not contain the allegedly missing data elements in the invoices. Rather, Giti’s position is that Flexport’s arguments that the allegations regarding the OSRA Addendum are false are “misplaced” in the context of the instant motion. [Doc. 17 at p. 7].

To be clear, Giti alleged that the OSRA Addendum failed to cure the deficiencies in the invoices solely on the basis that the OSRA Addendum was not a “complete” invoice. [Doc. 13 at ¶ 23]. In other words, the invoices should be disregarded since Flexport could not cure any deficiencies in a separate document.

Flexport merely argues that the Commission has already held that the information can be contained in a separate document. As such, a ruling could be made on this issue by the Commission at this juncture. Importantly, Giti agrees with Flexport’s contention, but argues that the

Commission should rule that this information can not be contained in a separate document. [Doc. 17 at p. 7]. As such, this is a purely legal issue as there are no facts in dispute.

c. The Additional OSRA Addenda.

Next, Giti addresses Flexport’s arguments regarding the 649 additional OSRA Addenda which were sent to Giti along with the invoices. Giti concludes – again without any legal support whatsoever – that “The Commission cannot consider new evidence in assessing a motion for judgment on the pleadings. Nor can it consider documents that were not referenced in or incorporated into the Amended Complaint.” [Doc. 17 at p. 7].

Earlier in its Opposition, however, Giti correctly cited to case law that the Commission may in fact “consider matters **incorporated by reference or integral to the claim**, items subject to judicial notice, and matters of public record.” [Doc. 17 at p. 2 (*quoting Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 115 (FMC Feb. 8, 2023)(in turn quoting *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (emphasis added))].

As set forth above, the law is clear that the Commission clearly can also consider the Answer and the exhibits attached thereto.

Nevertheless, Giti argues that this “new evidence” was not referenced by Giti in its Amended Complaint. Giti is correct in its assertion – but misses the point entirely. Giti ignores the fact that it deliberately omitted the existence of these addenda in its allegations and specifically misrepresented to the Commission that only a single OSRA Addendum was issued. [Doc. 13 at ¶ 22]. Clearly, this fact would be integral to Giti’s claim and as such should be considered by the Commission in ruling on the instant motion. *See Sira v. Morton*, 380 F.3d 57, 67 (2d Cir.2004) ((document not expressly cited in complaint was “incorporated into the pleading because [it] was integral to [plaintiff’s] ability to pursue” his cause of action)).

Curiously, Giti argues that these additional OSRA Addenda should not be considered by the Commission because “their authenticity is not established, nor is there evidence of whether they were ever actually received by Giti”. [Doc. 17 at p. 5]. However, the Answer was verified, including all exhibits attached thereto. But more importantly, Giti does not deny that it actually received the OSRA Addenda – Giti merely deflects the issues by claiming there is no evidence that it received them. In other words, Giti does not dispute that it received the OSRA Addenda.

Finally, Giti argues that Flexport only included 3 invoices with OSRA Addenda in its Exhibit “C” when there are “over 1,600 invoices at issue”. [Doc. 17 at p. 6].

First, Giti ignores the fact that of the 1,628 invoices at issue, 154 invoices contained all of the required data elements, as reflected in Giti’s Exhibit “A”; 825 invoices were included in the OSRA Addendum; and the remaining 649 invoices were sent with individual Addenda. [Doc. 15 at ¶ 19]. Second, Flexport specifically stated that it was providing a sampling of the 649¹ invoices and their respective addenda. [Doc. 15 at ¶ 22]. As noted above, Flexport’s Verified Answer must be considered when ruling on the instant motion – and Giti at no point contradicts Flexport’s statements regard the Addenda.

d. Flexport’s Response to Giti’s Exhibit “A”.

Giti next challenges Flexport’s arguments with respect to Giti’s Exhibit “A”, which is a spreadsheet listing the subject invoices and what information was purportedly missing from each. Giti’s position is that Flexport cannot argue that the allegations in the Amended Complaint are false and that the Commission should not consider Flexport’s Exhibit “A” attached to the Answer.

¹ Of course, Flexport can supplement its motion and produce all 649 invoices and their corresponding addenda, but this is unnecessary – particularly in light of the fact that Giti does not deny Flexport’s assertions in its Verified Answer that these were sent to, and received by, Giti.

As set forth above, the Commission may clearly consider the Answer and its exhibits. But Giti ignores two facts. First, Flexport was only pointing out that Giti's allegations were undermined by Giti's own Exhibit. Second, Flexport's Exhibit "A" is identical to Giti's Exhibit "A".

As explained in its Answer, Flexport took Giti's Exhibit "A", responded to each line item, and then color-coded each line item for the Commission's ease of reference and convenience as to which items were: (a) compliant, since Giti's own exhibit clearly set forth that all elements were present in the invoices; (b) which were compliant based on the OSRA Addendum; and (c) which were compliant based on the multiple OSRA Addenda. As such, it is unclear what Giti is actually arguing as to why the Commission should not consider Giti's own exhibit.

Flexport also reiterates that Giti's Exhibit "A" contained two columns purporting to show "missing information", when this information was not in fact required to be present. Giti does not address this argument at all.

As such, Giti presents no argument at all as to why the Commission should not rely upon Flexport's Exhibit "A".

e. Weekend and holiday charges.

Next, Giti argues that its allegations and its Exhibit "B", which sets forth its claims for detention charges incurred on weekends and holidays sufficiently stated a claim for relief under the Shipping Act.

Again, Giti ignores the fact that this is a motion for judgment on the pleadings, not a motion to dismiss for failure to state a claim. Giti does not appreciate the distinction – even if the allegations themselves state a claim for relief, judgment on the pleadings may nevertheless be rendered when taking into consideration all of the pleadings, the exhibits attached thereto, exhibits referenced therein, or which are integral to the claim.

Giti argues that Flexport “injects voluminous new facts”. This is simply not true. Flexport merely points out that, when looking at Giti’s Exhibit “B”, it can readily be discerned that the charges Giti complains of are for intervening weekends and holidays and further reflect that Giti held onto the containers for weeks and months before returning same. Again, collectively, Giti held onto containers, keeping them out of the supply chain for **17,709 days**.

This is not argument and Flexport does not inject “voluminous facts”. Flexport simply pointed out the evidence as presented by Giti in its Exhibit “B” which clearly reflected that these containers were held by Giti for lengthy periods well beyond the expiration of free time.

As such, based solely on the pleadings the Commission may rule as to whether these charges are “unreasonable”.² Again, Giti does not argue that the detention charges incurred on weekends were the result of any failure of Flexport. Giti only argues that Flexport simply cannot bill Giti for the thousands of weekends in which Giti refused to return the containers. Thus, Giti’s claim is that the imposition of any charge for weekends or holidays is unreasonable. Again, this is a purely legal issue as there are no facts in dispute.

f. Estoppel.

Giti’s response to Flexport’s arguments that Giti should be estopped from asserting the charges regarding demurrage are curious. The Motion sets forth the allegations Giti made in the California District Court case, in which Giti represented to the Court that the invoices for which Flexport filed suit were identical to the invoices which are the subject the FMC action and that there was, in fact, “complete overlap”. In its Opposition, Giti now admits that it made these misrepresentations: “While this proceeding may encompass more invoices than the California

² To be clear, Giti now argues for the first time that the weekend charges themselves are claimed to be “unreasonable”. [Doc. 17 at p. 8 and 9]. Yet, that is not what Giti alleges in the Amended Complaint. Rather, the allegations against Flexport are that the imposition of the charges are an unreasonable practice. [Doc. 17 at ¶¶ 29, 32].

case, there is nothing nefarious about Giti advising the California court that the invoices there are also in dispute here.” [Doc. 17 at p. 10].

g. Duplicate Charges.

With respect to Giti’s claims that some charges were duplicative, Giti argues that the Motion should be denied because Flexport relies upon “substantive arguments and “new facts” outside of the pleadings. [Doc. 17 at p. 10]. Giti’s argument is perplexing, as Flexport relies on factual allegations as set forth by Giti, and “supported” by its exhibits.

Flexport referenced Giti’s own allegations in its Initial Complaint that Flexport had invoiced motor carriers and then purportedly invoiced Giti for the same charges. These are not matters outside of the allegations – these are statements submitted by Giti in its sworn complaint before the Commission. Flexport merely pointed out that Giti was now changing its position to allege that Giti was invoiced by the motor carriers directly.

Flexport also noted that Giti failed to identify the motor carriers or the VOCCs which billed Giti for these duplicate charges. Giti responded only that it didn’t have to name them. [Doc. 17 at p. 11].

h. Excessive charges.

With respect to the claims that the charges were excessive, Giti’s arguments are also confusing. Giti argues that “Flexport again responded with substantive arguments based on new facts from outside the pleadings”. [Doc. 17 at p. 11]. Yet, the facts presented by Flexport were again taken from Giti’s own allegations and exhibits. Flexport then challenged Giti’s allegations as being self-contradictory and further contrary to publicly-available records, of which the Commission may take judicial notice of and on which it may rely in ruling on the motion.

To be clear, Giti argued that the rates charged by Flexport were 400% higher than the detention rates charged by the as-yet-unnamed VOCC. Flexport responded by pointing to Giti's own allegations in the Amended Complaint which clearly contradicted this incredible inflation.

Flexport also referenced the publicly-available Rules Tariffs of three of the largest NVOCCs to reflect that Flexport's detention and demurrage rates were either in line with, or lower than, these NVOCCs.

Flexport then pointed out that whether these rates are excessive does not require any discovery. Clearly the Commission is in the unique position to rule on whether the rate is excessive or not. Indeed, the Commission has engaged in extensive research and evaluation of detention and demurrage rates. To be clear, the charges are not in dispute. As such, this issue can be decided as a matter of law.

II. Conclusion.

Giti's entire Opposition is based upon the absolutely incorrect assertions that: (1) a motion for judgment on the pleadings is somehow not available when a motion to dismiss had been previously denied; and (2) that the Commission can only consider the complaint and the exhibits attached thereto in ruling on a motion for judgment on the pleadings.

Giti repeats these caseless legal conclusions countless times throughout its Opposition. That Giti fails to appreciate the relevant case law and real distinction between the two types of motions is of no moment. Flexport's arguments are based on Giti's own allegations and exhibits. Flexport responded to each allegation in its Answer and addressed Giti's exhibits in turn. Flexport also relied upon the OSRA Addenda which were deliberately omitted from the Amended Complaint but are integral to its claims, as well as publicly-available documents of which the Commission may not only take judicial notice of, but is ideally situated to review.

Based upon the foregoing, and as set forth in the Motion, there are no facts in dispute that would preclude the entry of judgment as a matter of law. Flexport respectfully requests that the Commission grant the motion for judgment on the pleadings.

Dated: October 25, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on October 25, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
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